



Trimester Report Ronce Incentive Explanation

TLD-Windsor
03/26/2008



Agenda

- ◆ TLD-Windsor 2007 YTD financial performance
- ◆ 2008 Outlook
- ◆ Employee Incentive update
- ◆ Conclusion

TLD-ACE 2007 YTD financial performance



- ◆ \$65M YTD Dec sales against a budget of \$45M
- ◆ Operating Profit was also ahead of the budget
 - We had increased our Production 25% above previous year which was already a previous record
 - Everyone in this company had made a contribution towards this success
- ◆ Initial forecasts indicated that 2008 could be a little slower.....
- ◆ However our Backlog still remains extremely high at \$19M
 - We must insure we keep up with our customers
 - ***It means our production rate must remain high at least for the first half of 2008***

Employee Incentive Plan



- ◆ The payout will be based on the results of 2007 and will be made the end of this week (first QTR 2008)
- ◆ The payout is based on the companies performance as measured by our R.O.N.C.E. Which was at a very good rate and above our payout amount Cap of 25%.
 - We have based the payment on a sliding scale from 10% to 25% RONCE
- ◆ The program, entering it's third year, has continued to ramp up from a partial level to its full ***potential*** level (4 weeks base salary).
- ◆ As originally announced the rollout plan was 1/3 potential first year, 2/3 second ,3/3 third year
 - Last year, Management and Share Holders had recognized the extraordinary efforts made and the very good results and decided to advance the rollout of this plan from 2/3 (66%) to 80%.
- ◆ This year the remaining 20% of the plan will be rolled out.

Employee Incentive Plan



- ◆ Please remember that this RONCE Incentive Bonus was proposed by the management of this company and requested of the original shareholders.
- ◆ Thankfully our current shareholders have allowed us to continue this program.
- ◆ This program is not part of the Bargaining agreement.
- ◆ It is intended as an incentive for all of us to work together to improve the profitability of the company.
- ◆ It is designed to share this profitability when the health of the company allows it (at some point in time we may not be able to receive it).
- ◆ ***It is in our power to maximize it's value and even secure the ability to receive it in tougher market times by improving productivity and cost control***

Conclusion



- ◆ 2007 has been very strong.
- ◆ The first half of 2008 still appears to require a high Production rate in order to not lose customers
- ◆ We must continue to increase the efficiency of the shop and all other departments via...
 - Complete utilization of our POU inventory facility
 - Focused projects to improve producibility
 - E-tools
 - Workflow modules
- ◆ ***We must continue to “make hay while the sun shines”***